

That, unfortunately, is what happens in business and investments. People know better, but when they hear a rumor—particularly when they hear it from a high place—they just can't resist the temptation to go along.

It happens on Wall Street periodically, where you get what are, in effect, manias. Looking back no one can quite understand how everyone could have gotten so swept up in the moment. A group of lemmings looks like a pack of individualists compared with Wall Street when it gets a concept in its teeth.

When I was a graduate student at Columbia University, I got a piece of advice from Ben Graham, the founding father of security analysis, that I've never forgotten: You're neither right nor wrong because other people agree with you. You're right because your facts are right and your reasoning is right—and that's the only thing that makes you right.

A group of lemmings looks like a pack of individualists compared with Wall Street when it gets a concept in its teeth.

And if your facts and reasoning are right, you don't have to worry about anybody else. Watch that track record. The best judgment we can make about managerial competence does not depend on what people say, but simply what the record shows. At Berkshire Hathaway, when we buy a business we usually keep whoever has been running it, so we already have a batting average. Take the case of Mrs. B, who ran our Furniture Mart. Over a 50-year period, we'd seen her take \$500 and turn it into a business that made \$18 million pretax. So we knew she was competent. She's also 97 years old. In fact, now she's competing with us; she started a new business two years ago. Who would think you'd have to get a noncompete agreement with a 95-year-